
From: noreply-cifssost@sec.gov.ph <noreply-cifssost@sec.gov.ph>

Sent: Friday, November 14, 2025 8:18 AM

Subject: SEC eFast Initial Acceptance

CAUTION: This email originated from outside of the organization. Do not click links or open attachments unless you recognize the sender and know the content is safe.

Dear **SEAFRONT RESOURCES CORP.**,

Greetings!

This serves as a temporary receipt of your submission, subject to verification of the form and the quality of the image of the submitted report.

SEC Registration No: 0000040979

Company Name: SEAFRONT RESOURCES CORP.

Document Code: SEC_Form_17-Q

A separate email will be sent as proof of review and/or final acceptance.

Thank you.

SECURITIES AND EXCHANGE COMMISSION

SEC Headquarters, 7907 Makati Avenue,

Salcedo Village, Barangay Bel-Air, Makati City,

1209, Metro Manila, Philippines

REMINDER:

TO ALL FILERS OF REPORTS IN THE e-FAST

Please strictly follow the instructions stated in the form. Filings not in accordance with the prescribed template for the following reports will be automatically reverted by the system to the filer: 1. General Information Sheet (GIS-Stock); 2. General Information Sheet (GIS-Non-stock); 3. General Information Sheet (GIS- Foreign stock & non-stock); 4. Broker Dealer Financial Statements (BDFS); 5. Financing Company Financial Statements (FCFS); 6. Investment Houses Financial Statements (IHFS); 7. Publicly – Held Company Financial Statement; 8. General Form for Financial Statements; 9. Financing Companies Interim Financial Statements (FCIF); 10. Lending Companies Interim Financial Statements (LCIF).

Per Section 18 of SEC Memorandum Circular No. 3 series of 2021, the reckoning date of receipt of reports is the date the report was initially submitted to the eFAST, if the filed report is compliant with the existing requirements. A report, which was reverted or rejected, is considered not filed or not received. A notification will be sent to the filer, stating the reason for the report's rejection in the remarks box.

THIS IS AN AUTOMATED MESSAGE - PLEASE DO NOT REPLY DIRECTLY TO THIS EMAIL

The contents of this e-mail message and any attachments are confidential and are intended solely for the addressee. The information may also be legally privileged. This transmission is sent in trust, for the sole purpose of delivery to the intended recipient. If you have received this transmission in error, any use, reproduction or dissemination of this transmission is strictly prohibited. If you are not the intended recipient, please immediately notify the sender via e-mail or phone and delete this message and its attachments, if any.

The contents of this e-mail message and any attachments are confidential and are intended solely for the addressee. The information may also be legally privileged. This transmission is sent in trust, for the sole purpose of delivery to the intended recipient. If you have received this transmission in error, any use, reproduction or dissemination of this transmission is strictly prohibited. If you are not the intended recipient, please immediately notify the sender via e-mail or phone and delete this message and its attachments, if any.

COVER SHEET

4	0	9	7	9											
---	---	---	---	---	--	--	--	--	--	--	--	--	--	--	--

SEC Registration Number

S	E	A	F	R	O	N	T		R	E	S	O	U	R	C	E	S		C	O	R	P	O	R	A	T	I	O	N			
---	---	---	---	---	---	---	---	--	---	---	---	---	---	---	---	---	---	--	---	---	---	---	---	---	---	---	---	---	---	--	--	--

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

(Company's Full Name)

7	T	H		F	L	O	O	R	,		J	M	T		B	U	I	L	D	I	N	G	,								
---	---	---	--	---	---	---	---	---	---	--	---	---	---	--	---	---	---	---	---	---	---	---	---	--	--	--	--	--	--	--	--

A	D	B		A	V	E	N	U	E	,		O	R	T	I	G	A	S		C	E	N	T	E	R	,						
---	---	---	--	---	---	---	---	---	---	---	--	---	---	---	---	---	---	---	--	---	---	---	---	---	---	---	--	--	--	--	--	--

P	A	S	I	G		C	I	T	Y																						
---	---	---	---	---	--	---	---	---	---	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

(Business Address: No. Street City/Town/Province)

MS. MILAGROS V. REYES

(Contact Person)

8637-2917

(Company Telephone Number)

1	2	3	1
---	---	---	---

Month Day
(Fiscal Year)

3rd Quarter Report

1	7	-	Q
---	---	---	---

0	6	2	0
---	---	---	---

Month Day
(Annual Meeting)

--

(Secondary License Type, If Applicable)

--

Dept. Requiring this Doc.

--

Amended Articles Number/Section

4,662

Total No. of Stockholders

--

Domestic

--

Foreign

To be accomplished by SEC Personnel concerned

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

File Number

LCU

--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--

Document ID

Cashier

S T A M P S

Remarks: Please use BLACK ink for scanning purposes.

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 11
OF THE SECURITIES REGULATION CODE (SRC)
AND SRC RULE 17(a)-1(b)(2) THEREUNDER

1. September 30, 2025
For the quarterly period ended
2. SEC Identification Number 40979 3. BIR Tax Identification No. 000-194-465-000
3. Seafront Resources Corporation
Exact name of registrant as specified in its charter
4. Manila, Philippines 5. (SEC Use Only)
Province, country or other jurisdiction of incorporation Industry Classification Code:
5. 7th Floor, JMT Condominium, ADB Avenue, Ortigas Center, Pasig City 1605
Address of principal office Postal Code
6. (632) 8637-29-17
Registrant's telephone number, including area code
7. Not applicable
Former name, former address and former fiscal year, if changed since last report
8. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

Title of Each Class	Number of Shares of Common Stock Outstanding
Common (par value of P1.00/share)	163,000,000
Amount of Debt Outstanding	₱222,857
9. Are any or all of the securities listed on the Philippine Stock Exchange?
All issued and outstanding common shares are listed in the Philippine Stock Exchange
10. Indicate by check mark whether the registrant:

(a) has filed all reports required to be filed by Section 11 of the Securities Regulation Code (SRC) and SRC Rule 11(a)-1 thereunder and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding 12 months (or for such shorter period the registrant was required to file such reports)

Yes ☒

(b) has been subject to such filing requirements for the past 90 days

Yes ☒

TABLE OF CONTENTS

	Page no.
PART I FINANCIAL INFORMATION	
Item 1. Financial Statements	
1. Statements of Financial Position As of September 30, 2025, September 30, 2024 and December 31, 2024	4
2. Statements of Comprehensive Income For the 3 rd quarter ended and nine months ended September 30, 2025 and September 30, 2024	5
3. Statement of Changes in Equity As of September 30, 2025, September 30, 2024 and December 31, 2024	6
4. Statement of Cash flows As of September 30, 2025 and September 30, 2024	7
5. Notes to Financial Statements	8 - 26
Item 2. Management Discussion and Analysis of Financial Condition and Results of Operations	
1. Financial Condition – September 30, 2025 and September 30, 2024	27
2. Results of Operations – For the quarter ended September 30, 2025 and September 30, 2024	28
3. Financial Condition – September 30, 2025 and December 31, 2024	29
4. Results of Operations – For the nine months ended September 30, 2025 and September 30, 2024	31-32
5. Key Performance Indicator	32
6. Discussion of Indicators of the Company’s Level of Performance	33
7. Disclosure in view of the current financial condition.	33
8. Results and Plan of Operations	34
PART II OTHER INFORMATION	34
OTHER SUPPLEMENTARY SCHEDULES	
Supplementary Information and disclosures required on SRC Rule 68	35 - 36
Schedule of Financial Soundness Indicators	37
Reconciliation of Retained Earnings Available for Dividend Declaration	38 - 39
Map of relationships of companies within the group	40
SIGNATURES	41

SEAFRONT RESOURCES CORPORATION
STATEMENTS OF FINANCIAL POSITION

	30-Sep-25 (Unaudited)	30-Sep-24 (Unaudited)	31-Dec-24 (Audited)
ASSETS			
Current Assets			
Cash and cash equivalents (Notes 6, 7, 8 and 13)	₱383,728,342	₱15,441,270	₱16,823,766
Receivables (Notes 8, 9 and 13)	1,549,205	1,836,276	1,975,300
Notes receivable (Notes 8 and 10)	-	100,000,000	100,000,000
Financial assets at fair value through profit or loss (FVTPL) (Notes 8 and 13)	29,547,549	32,670,554	29,738,681
Other current assets	1,404,006	580,568	584,845
Total Current Assets	416,229,102	150,528,668	149,122,592
Noncurrent Assets			
Financial assets at fair value through other comprehensive income (FVOCI) (Notes 8 and 13)	20,333,538	509,135,517	620,911,020
Other non-current assets (Note 14)	25,000,000	-	-
Input VAT	1,473,124	1,283,173	1,309,761
Total Noncurrent Assets	46,806,662	510,418,690	622,220,781
TOTAL ASSETS	₱463,035,764	₱660,947,358	₱771,343,373
LIABILITIES AND EQUITY			
Current Liabilities			
Accounts payable and accrued expenses (Notes 12, 13 and 15)	₱222,857	₱362,089	₱822,444
Noncurrent Liability			
Deferred tax liability	-	58,589,318	74,670,009
Total Liabilities	222,857	58,951,407	75,492,453
Equity			
Capital stock - ₱1 par value (Note 15)			
Authorized - 388,000,000 shares			
Issued and outstanding - 163,000,000 shares	163,000,000	163,000,000	163,000,000
Net unrealized gains on financial assets at FVOCI (Notes 8 and 15)	292,269	332,722,963	428,417,775
Retained earnings (Note 15)	299,520,638	106,272,988	104,433,145
Total Equity	462,812,907	601,995,951	695,850,920
TOTAL LIABILITIES AND EQUITY	₱463,035,764	₱660,947,358	₱771,343,373

See accompanying Notes to Financial Statements.

SEAFRONT RESOURCES CORPORATION
STATEMENTS OF COMPREHENSIVE INCOME

	For the 3rd Quarter		For the nine months	
	Unaudited 30-Sep-25	Unaudited 30-Sep-24	Unaudited 30-Sep-25	Unaudited 30-Sep-24
REVENUES				
Interest income	P 3,577,849	P 1,774,840	P 6,435,959	P 5,105,248
Dividend income	451,786	505,087	525,284	542,612
Gain (loss) on forex	-	(1,672)	337	300
Other income	22,321	105,164	198,850	315,493
TOTAL REVENUES	4,051,956	2,383,419	7,160,430	5,963,653
EXPENSES AND CHARGES				
General and administrative expenses	1,678,634	603,773	3,127,836	1,785,766
Net losses on fair value changes on financial assets at fair value through profit or loss	458,599	954,225	191,132	5,436,470
	2,137,233	1,557,998	3,318,968	7,222,236
Income (loss) before income tax	1,914,723	825,421	3,841,462	(1,258,583)
Provision for income tax	446	2,103	3,969	6,310
NET INCOME (LOSS)	1,914,277	823,318	3,837,493	(1,264,893)
OTHER COMPREHENSIVE INCOME (LOSS)				
Net unrealized gains (losses) on available-for- sale financial assets	(965,392)	1,013,688	(509,946)	(4,570,899)
TOTAL COMPREHENSIVE INCOME (LOSS)				
FOR THE QUARTER	P 948,885	P 1,837,006	P 3,327,547	P (5,835,792)
Basic and Diluted Earnings (Loss) Per Share	0.012	0.005	0.024	(0.008)

See accompanying Notes to Financial Statements.

SEAFRONT RESOURCES CORPORATION
STATEMENTS OF CHANGES IN EQUITY

	30-Sep-25 (Unaudited)	30-Sep-24 (Unaudited)	31-Dec-24 (Audited)
Capital Stock (Note 15)			
Authorized - 388,000,000 shares	₱163,000,000	₱163,000,000	₱163,000,000
Issued and outstanding - 163,000,000 shares			
	163,000,000	163,000,000	163,000,000
Net Unrealized Gains on Financial Assets at FVOCI (Notes 8 and 15)			
Balance at beginning of year	428,417,775	337,293,862	337,293,862
Other comprehensive income (loss)	(509,946)	(4,570,899)	91,123,913
Transfer of cumulative gain on equity securities at FVOCI realized through disposal	(427,615,560)	–	–
	292,269	332,722,963	428,417,775
Retained Earnings (Note 15)			
Balance at beginning of year	104,433,145	107,537,881	107,537,881
Net income (loss)	3,837,493	(1,264,893)	(3,104,736)
Transfer of cumulative gain on equity securities at FVOCI realized through disposal	191,250,000	–	–
	299,520,638	106,272,988	104,433,145
TOTAL EQUITY	₱462,812,907	₱601,995,951	₱695,850,920

See accompanying Notes to Financial Statements.

SEAFRONT RESOURCES CORPORATION
STATEMENTS OF CASH FLOWS

	30-Sep-25	30-Sep-24
	Unaudited	Unaudited
CASH FLOWS FROM OPERATING ACTIVITIES		
Income (Loss) before income tax	₱ 3,841,462	₱ (1,258,583)
Adjustments for:		
Dividend income	(525,284)	(37,525)
Interest income	(6,435,959)	(3,330,409)
Net unrealized loss (gains) on fair value changes on financial assets at fair value through profit	191,132	5,436,470
Operating loss before working capital changes	(2,928,649)	809,953
Changes in operating assets and liabilities:		
Decrease (increase) in:		
Receivables	112,318	10,636
Notes receivables	100,000,000	(100,000,000)
Other current assets	(819,161)	(187,064)
Non-other current assets	(25,000,000)	-
Input VAT	(163,362)	(71,176)
Increase (decrease) in:		
Accounts payable and accrued expenses	(599,587)	(557,185)
Deferred Tax Liability	(74,670,009)	-
Net cash used for operations	(4,068,450)	(99,994,836)
Dividends received	465,762	259,450
Interest received	6,809,258	3,115,992
Net cash provided by (used in) operating activities	3,206,570	(96,619,394)
CASH FLOWS FROM INVESTING ACTIVITIES		
Movement of financial assets at FVOCI	(2,490,055)	1,000,000
Proceeds from disposal of financial assets at FVOCI	366,188,061	-
Net cash provided by investing activities	363,698,006	1,000,000
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENT	366,904,576	(95,619,394)
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE YEAR	16,823,766	111,060,664
CASH AND CASH EQUIVALENTS AT END OF YEAR	₱ 383,728,342	₱ 15,441,270

See accompanying Notes to Financial Statements.

SEAFRONT RESOURCES CORPORATION

NOTES TO FINANCIAL STATEMENTS

1. Corporate Information

Seafront Resources Corporation (the Company or SRC) was registered with the Securities and Exchange Commission (SEC) on April 16, 1970 as an oil exploration and production company. On October 18, 1996, the Company amended its Articles of Incorporation which provides for the revision of its primary purpose from engaging in the business of oil exploration and production into a holding company and to include oil exploration and production business as one of its secondary purposes. The Company's shares of stock were listed on May 7, 1974 and are currently traded at the Philippine Stock Exchange.

The registered office address of the Company is 7th Floor, JMT Building, ADB Avenue, Ortigas Center, Pasig City.

The accompanying financial statements were approved and authorized for issue by the Board of Directors (BOD).

2. Basis of Preparation

Basis of Preparation

The accompanying financial statements of the Company have been prepared under the historical cost basis, except for the financial assets at fair value through profit or loss (FVTPL) and financial assets at fair value through other comprehensive income (FVOCI), which have been measured at fair value. The Company's financial statements are presented in Philippine Peso (₱), which is also the Company's functional and presentation currency.

The Company has investment in trust funds. The transactions and balances of the Company's trust funds (see Note 7) are consolidated on a line by line basis with the Company. The trust fund reports are prepared for the same reporting year as the Company, using consistent accounting policies in accordance with Philippine Financial Reporting Standards (PFRSs).

Statement of Compliance

The financial statements of the Company have been prepared in accordance with PFRSs. The term PFRSs, in general, include all applicable PFRSs, Philippine Accounting Standards (PASs) and Interpretations issued by the Standing Interpretations Committee, the Philippine Interpretations Committee (PIC) and the International Financial Reporting Interpretations Committee (IFRIC), which have been approved by the Philippine Financial Reporting Standards Council (FRSC) and adopted by the Philippine SEC.

3. Changes in Accounting Policies and Disclosures

New Standards, Interpretations and Amendments

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of new standards effective in 2024. The Company has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Unless otherwise indicated, adoption of these new standards did not have any impact on the financial statements of the Company.

- Amendments to PAS 1, *Classification of Liabilities as Current or Non-current*
- Amendments to PFRS 16, *Lease Liability in a Sale and Leaseback*
- Amendments to PAS 7 and PFRS 7, *Disclosures: Supplier Finance Arrangements*

Standards Issued But Not Yet Effective

Pronouncements issued but not yet effective are listed below. Unless otherwise indicated, the Company does not expect that the future adoption of the said pronouncements will have a significant impact on its financial statements. The Company intends to adopt the following pronouncements when they become effective.

Effective beginning on or after January 1, 2025

- Amendments to PAS 21, *Lack of exchangeability*

Effective beginning on or after January 1, 2026

- Amendments to PFRS 9 and PFRS 7, *Classification and Measurement of Financial Instruments*
- Annual Improvements to PFRS Accounting Standards – Volume 11
 - Amendments to PFRS 1, *Hedge Accounting by a First-time Adopter*
 - Amendments to PFRS 7, *Gain or Loss on Derecognition*
 - Amendments to PFRS 9, *Lessee Derecognition of Lease Liabilities and Transaction Price*
 - Amendments to PFRS 10, *Determination of a 'De Facto Agent'*
 - Amendments to PAS 7, *Cost Method*

Effective beginning on or after January 1, 2027

- PFRS 17, *Insurance Contracts*
- PFRS 18, *Presentation and Disclosure in Financial Statements*
- PFRS 19, *Subsidiaries without Public Accountability*

Deferred Effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

4. Summary of Significant Accounting Policies

Financial Instruments

Initial recognition and subsequent measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets - Initial recognition and measurement

Financial assets are classified, at initial recognition, as subsequently measured at amortized cost; FVOCI; and FVTPL.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Company's business model for managing them. The Company initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs.

In order for a financial asset to be classified and measured at amortized cost or fair value through OCI, it needs to give rise to cash flow that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

The Company's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortized cost (debt instruments)
- Financial assets at FVOCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at FVOCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at FVTPL

Financial assets at amortized cost (debt instruments)

The Company measures financial assets at amortized cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at amortized cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognized in profit or loss when the asset is derecognized, modified or impaired.

The Company's financial assets at amortized cost includes cash and cash equivalents and receivables.

Financial assets at FVTPL

Financial assets at fair value through profit or loss include financial assets held for trading, financial assets designated upon initial recognition at fair value through profit or loss, or financial assets mandatorily required to be measured at fair value. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Derivatives, including separated embedded derivatives, are also classified as held for trading unless they are designated as effective hedging instruments. Financial assets with cash flows that are not solely payments of principal and interest are classified and measured at fair value through profit or loss, irrespective of the business model. Notwithstanding the criteria for debt instruments to be classified at amortized cost or at fair value through OCI, as described above, debt instruments may be designated as at FVTPL on initial recognition if doing so eliminates, or significantly reduces, an accounting mismatch.

Financial assets at FVTPL are carried in the statement of financial position at fair value with net changes in fair value recognized in profit or loss.

This category includes derivative instruments and quoted equity investments which the Company had not irrevocably elected to classify at fair value through OCI. Dividends on quoted equity investments are also recognized as other income in profit or loss when the right of payment has been established.

The Company's financial assets at FVTPL consists of investments in quoted equity securities held for trading.

Financial assets designated at FVOCI (equity instruments)

Upon initial recognition, the Company can elect to classify irrevocably its equity investments as equity instruments designated at FVOCI when they meet the definition of equity under PAS 32 and are not held for trading. The classification is determined on an instrument-by-instrument basis.

Gains and losses on these financial assets are never recycled to profit or loss. Dividends are recognized as other income in profit or loss when the right of payment has been established, except when the Company benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI. Equity instruments designated at FVOCI are not subject to impairment assessment.

The Company's financial assets at FVOCI include quoted and unquoted equity securities and quoted government securities.

Impairment of financial assets

The Company recognizes an allowance for expected credit loss (ECLs) for all debt instruments not held at FVTPL. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms. ECLs are recognized in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12 months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

The Company may consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Financial liabilities - Initial recognition and measurement

The Company's financial liabilities consist of payables and accrued expenses classified, at initial recognition, as loans and borrowings recognized at fair value.

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortized cost using the EIR method.

Derecognition of financial assets and financial liabilities

Financial assets

A financial asset (or where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- the rights to receive cash flows from the asset have expired;
- the Company retains the rights to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a "pass-through" arrangement; or
- the Company has transferred its right to receive cash flows from the asset and either (a) has transferred substantially all the risks and rewards of the asset, or (b) has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

Financial liabilities

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or has expired.

Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to by the Company. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their best economic interest.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Company determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

Capital Stock

Capital stock is measured at par value for all shares issued. Incremental costs incurred directly attributable to the issuance of new shares are shown in equity as a deduction from proceeds, net of tax. When the Company purchases its own capital stock (treasury shares), the consideration paid, including any attributable incremental costs, is deducted from equity until the shares are cancelled, reissued or disposed of. Where such shares are subsequently sold or reissued, any consideration received, net of any directly attributable incremental transaction costs and the related tax effects is included in equity.

Retained Earnings

Retained earnings represent accumulated earnings of the Company less dividends declared and with consideration of any changes in accounting policies and other adjustments applied retroactively. The retained earnings of the Company are available for dividends only upon approval and declaration of the BOD.

Earnings Per Share (EPS)

Basic earnings per share are computed on the basis of the weighted average number of shares outstanding during the year after giving retroactive effect for any stock dividends declared in the current year.

Revenue Recognition

Interest income

Interest income is recognized as the interest accrues taking into account the effective yield on the asset.

Dividend income

Dividend income is recognized when the Company's right to receive the payment is established, which is generally when the BOD approves the dividend declaration.

Rental income

Rental income under non-cancellable leases is recognized in the statement of comprehensive income on a straight-line basis over the lease terms, as provided under the terms of the lease contract.

Management income

Management income from contacts with customers is recognized when control of the services is transferred to the customer at an amount that reflects the consideration to which the Company expects to be entitled in exchange for those goods. The Company has concluded that it is the principal in its revenue arrangement since it is the primary obligor in all revenue arrangements, has pricing latitude and is also exposed to credit risk. Management income is recognized over time, using an input method to measure progress towards complete satisfaction of the service, because the customer simultaneously receives and consumes the benefits provided by the Company.

General and Administrative Expenses

Expenses are recorded when incurred. General and administrative expenses constitute costs of administering the business.

Income Tax

Current tax

Current tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted by the reporting date.

Deferred tax

Deferred tax is provided on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognized for all taxable temporary differences. Deferred tax assets are recognized for all deductible temporary differences, carryforward of unused tax credits from excess minimum corporate income tax (MCIT) over regular corporate income tax and unused net operating loss carryover (NOLCO), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carryforward of unused tax credits from excess MCIT and unexpired NOLCO can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantially enacted at the reporting date.

Events After the Reporting Date

Post year-end events up to the date of auditors' report that provide additional information about the Company's situation at the reporting date (adjusting events) are reflected in the financial statements, if any. Post year-end events that are not adjusting events are disclosed in the notes when material.

5. Significant Accounting Judgments, Estimates and Assumptions

The preparation of the accompanying financial statements requires management to make judgments, estimates and assumptions that affect amounts reported in the financial statements and related notes. The judgments, estimates and assumptions used in the financial statements are based upon management's evaluation of relevant facts and circumstances as of the date of the Company's financial statements. Actual results could differ from such estimates.

Judgments and estimates are contractually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Judgments

In the process of applying the Company's accounting policies, management has made the following judgments, apart from those involving estimations, which has the most significant effect on the amounts recognized in the financial statements:

Recognition of deferred tax assets

The Company's deferred tax assets pertain to the carryforward benefits of NOLCO and excess MCIT over RCIT. Judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

The Company did not recognize deferred tax assets because the management believes that it may not be probable that sufficient taxable income will be available against which the income tax benefits can be realized prior to their expiration.

Estimates and Assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the statements of financial position date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

Estimation of fair value of unquoted equity securities classified as financial assets at FVOCI

The Company uses its judgment to select the most appropriate valuation methodology to value its unquoted equity investments and make assumptions that are mainly based on market conditions existing at each reporting period. As of September 30, 2025, the Company has no unquoted equity investments. As of December 31, 2024, the Company valued the unquoted equity securities classified as financial assets at FVOCI using the adjusted net asset method which is a combination of the market and income approaches. It involves directly measuring the fair value of the assets and liabilities of the investee company. Assets of the investee company consist mainly of parcels of land for sale are adjusted to its fair value. The fair value adjustments arising from changes in fair value of unquoted equity securities are fully disclosed in Note 8.

6. Cash and Cash Equivalents

	30-Sep-25 (Unaudited)	31-Dec-24 (Audited)
Cash in banks (Notes 7 and 8)	₱ 7,561,090	₱5,040,634
Cash equivalents (Notes 7 and 8)	376,167,252	11,783,132
	₱383,728,342	₱16,823,766

Cash in banks earn interest at the prevailing bank deposit rates. Cash equivalents are short-term investments that are made for varying periods of up to three months depending on the immediate cash requirements of the Company and earn interest at the prevailing short-term placement rates.

Interest income earned on cash in banks and cash equivalents amounted to ₱6.44 million and ₱5.11 million as of September 30, 2025 and September 30, 2024, respectively.

7. Investment in Trust Funds

The Company established trust funds (the Trust) which are being administered by a local bank under two trust agreements. The details of the trust funds based on the financial statements issued by the trustee bank are as follows:

	30-Sep-25 (Unaudited)	31-Dec-24 (Audited)
Assets		
Cash and cash equivalents (Note 6)	₱4,380,536	₱7,208,003
Financial assets at FVTPL (Note 8)	6,477,201	3,979,293
Financial assets at FVOCI - government securities (Note 8)	13,039,983	13,009,867
Receivables and other current assets	70,154	56,269
	23,967,874	24,253,432
Liability		
Accounts payable and accrued expenses	(51,069)	(50,054)
	₱23,916,805	₱24,203,378
Equity		
Principal fund	₱28,006,730	₱28,056,417
Accumulated trust fund loss at beginning of year	30,116	519,987
Trust fund income (loss) for the year	(4,120,041)	(4,373,026)
Accumulated trust fund loss at end of year	(4,089,925)	(3,853,039)
	₱23,916,805	₱24,203,378

The assets, liabilities and performance of the fund are consolidated in the applicable accounts of the Company for financial statement presentation purposes.

8. Financial Assets

The Company's financial assets are summarized by measurement categories as follows:

	30-Sep-25 (Unaudited)	31-Dec-24 (Audited)
Cash and cash equivalents (Note 6)	₱383,728,342	₱16,823,766
Receivables (Note 9)	1,549,205	1,975,300
Notes receivable (Note 10)	-	100,000,000
Financial assets at FVTPL (Note 13)	29,547,549	29,738,681
Financial assets at FVOCI (Note 13)	20,333,538	620,911,020
	₱435,158,634	₱769,448,767

Financial Assets at FVTPL

Details of financial assets at FVTPL consisting of quoted equity securities are as follows:

	30-Sep-25 (Unaudited)	31-Dec-24 (Audited)
Fair value	₱29,547,549	₱29,738,681
Acquisition cost	48,100,916	48,100,916

The net loss on fair value changes on financial assets at FVTPL amounted to ₱0.19 million and ₱5.44 million as of September 30, 2025 and 2024, respectively.

The movements in financial assets at FVTPL for the period ended September 30, 2025 and December 31, 2024 are as follows:

	30-Sep-25 (Unaudited)	31-Dec-24 (Audited)
Balance at beginning of year	₱29,738,681	₱38,107,024
Fair value gain (loss) recognized during the period	(191,132)	(8,368,343)
Balance at end of year	₱29,547,549	₱29,738,681

Financial Assets at FVOCI

Financial assets at FVOCI consist of quoted and unquoted shares of stock held for long-term investment purposes and are carried at fair value. The carrying values of these investments are as follows:

	30-Sep-25 (Unaudited)	31-Dec-24 (Audited)
Quoted equity securities:		
PetroEnergy Resources Corporation (PERC) (Note 13)	₱13,248,005	₱13,864,191
Unquoted equity security:		
Hermosa Ecozone Development Corporation (HEDC) (Note 13)	-	603,067,536
Investments in government securities (Note 7 and 13)	7,085,533	3,979,293
	₱20,333,538	₱620,911,020

The movements in financial assets at FVOCI for the period ended September 30, 2025 and December 31, 2024 are as follows:

	30-Sep-25 (Unaudited)	31-Dec-24 (Audited)
Balance at beginning of year	₱620,911,020	₱514,706,416
Fair value loss recognized during the period	(509,946)	107,204,604
Disposal of financial assets	(603,067,536)	–
Movement of government securities	3,000,000	(1,000,000)
Balance at end of period	₱20,333,538	₱620,911,020

Movements in the net unrealized gains on financial assets at FVOCI in equity are as follows:

	30-Sep-25 (Unaudited)	31-Dec-24 (Audited)
Balance at beginning of year	₱428,417,775	₱337,293,862
Unrealized loss recognized in other comprehensive income	766,308	–
Cumulative gain on disposed financial asset transferred to retained earnings	(191,250,000)	91,123,913
Transferred to profit and loss	(237,641,814)	–
Balance at end of period	₱292,269	₱428,417,775

Dividend income earned on investments amounted to ₱0.53 million as of September 30, 2025 and ₱0.54 million as of September 30, 2024.

Investment in HEDC

On January 31, 1997, the Company entered into a Project Shareholders' Agreement with five other companies led by Investment and Capital Corporation of the Philippines (ICCP) and Penta Capital Investment Corporation (PCIC) to develop 500 to 600 hectares of raw land in Hermosa, Bataan into a new township consisting of industrial estates, residential communities, a golf and country club and a commercial center.

The fair value of investment in HEDC is determined using the adjusted net asset value method wherein the assets of HEDC consisting mainly of parcels of land are adjusted from cost to its fair value. The valuation of the parcels of land was performed by Cuervo Appraisers, Inc., a SEC-accredited independent appraiser as of December 31, 2024. This measurement falls under Level 3 in the fair value hierarchy.

Fair value measurement disclosures for the determination of fair value of unquoted equity securities are provided in Note 13.

On July 8, 2025, the Company sold its 11.33% equity interest in HEDC for a total consideration of ₱325 million. The recorded gain of ₱190 million is directly recognized in the retained earnings account, while the previously recognized unrealized gain on appraisal increase under Stockholders Equity .

9. Receivables

	30-Sep-25 (Unaudited)	31-Dec-24 (Audited)
Accrued interest receivable	₱806,719	₱1,180,018
Dividends receivable	696,009	636,487
Receivable from HEDC (Note 12)	21,652	124,554
Rent receivable	24,825	34,241
	₱1,549,205	₱1,975,300

10. Notes Receivable

On February 1, 2024, the Company placed ₱100.00 million in a 362-day tenor promissory note through RCBC Capital Corporation, subject to quarterly interest payment of 8% per annum. This was recorded under Notes receivable in the statement of financial position. The maturity of this investment occurred on April 29, 2025.

Interest income earned on notes receivable amounted to ₱1.91 million and ₱5.94 million for the year of 2025 and 2024.

11. Other Income

	30-Sep-25 (Unaudited)	30-Sep-24 (Unaudited)	31-Dec-24 (Audited)
Management income (Note 12)	₱181,250	₱275,893	₱367,857
Rental income	17,600	39,600	52,800
	₱198,850	₱315,493	₱420,657

Management income pertains to accounting, legal and administrative services rendered by the Company to HEDC (see Note 12).

Rental income pertains to rentals earned from a parking slot owned by the Company which are classified as investment property. As of September 30, 2025 and December 31, 2024, the cost of the fully depreciated parking slots amounted to ₱207,598.

The fair value of the investment property ranges from ₱800,000 to ₱1,735,000 per slot as of September 30, 2025 and December 31, 2024, respectively. This has been determined on the basis of recent sales of similar properties in the same area as the investment property and taking into account the economic conditions prevailing at the time the valuation was made. The significant unobservable inputs used in determining the fair value include the location, size, shape, and highest and best use (Level 3 - Significant unobservable inputs). There are no related costs for the operation of the investment property.

12. Related Party Transactions

Related party relationship exists when one party has the ability to control, directly, or indirectly through one or more intermediaries, the other party or exercise significant influence over the other party in

making financial and operating decisions. Such relationship also exists between and/or among entities, which are under common control with the reporting enterprises and its key management personnel, directors, or its shareholders. In considering each related party relationship, attention is directed to the substance of the relationship, and not merely the legal form.

The Company in its regular conduct of business has entered into the following transactions with related parties consisting of reimbursement of expenses and management and accounting services agreements.

The Company's financial statements include the following amounts resulting from transactions with related parties:

30-Sep-25 (Unaudited)				
Nature of transaction		Amount/ Volume	Receivables/ (Accounts payable)	Terms Conditions
Affiliate:				
PERC	Rent and Management fee	₱369,000	(₱27,081)*	Noninterest bearing; due and demandable Unsecured
	Reimbursements	104,346	—	
HEDC	Management income	181,250	21,652	- do - Unsecured, no
	(Notes 9 and 11)			impairment
		₱654,596		

** included as part of accounts payable and accrued expenses*

31-Dec-24 (Audited)				
Nature of transaction		Amount/ Volume	Receivables/ (Accounts payable)	Terms Conditions
Affiliate:				
PERC	Rent and Management fee	₱492,000	(₱35,212)*	Noninterest bearing; due and demandable Unsecured
	Reimbursements	213,444	—	
HEDC	Management income	367,857	124,554	- do - Unsecured, no
	(Notes 9 and 11)			impairment
		₱1,091,301		

** included as part of accounts payable and accrued expenses*

The Company has no employees and PERC provides administrative support to the Company.

On April 1, 2022, the Company entered into a management agreement with PERC. Under the said agreement, PERC provides the Company management and technical services including compliance, administration and supervision of operations, finance, accounting, and treasury, and general services. The agreement took effect on the date of execution of the management agreement and may be terminated by either party upon 30 days of prior written notice. The Company pays a monthly service fee amounting to ₱35,000, exclusive of VAT. Furthermore, PERC also charges direct costs as an incidence of the performance of services such as rent of office space and other office-related costs. Therefore, no compensation and short-term benefits for key management personnel were charged in profit or loss for the quarters ended September 30, 2025 and 2024 and year ended December 31, 2024.

Terms and conditions of transactions with related parties

Outstanding balances at year-end are to be settled in cash. There have been no guarantees provided or received for any related party receivables or payables.

13. Financial Instruments

Categories and Fair Values of Financial Instruments

The methods and assumptions used by the Company in estimating the fair values of the financial instruments are:

Cash and cash equivalents and receivables

Due to the short-term nature of the instruments, carrying amounts approximate fair values as of the reporting date.

Government securities

Fair values are generally based on quoted market prices at reporting date. This is under Level 1 category of the fair value hierarchy.

Equity securities

For quoted equity securities, fair values are based on published quoted prices. This is under Level 1 category of the fair value hierarchy.

For unquoted equity securities, fair values are determined using the adjusted net asset value method which involves directly measuring the fair value of the assets and liabilities of the investee company. This measurement falls under Level 3 in the fair value hierarchy.

Accounts payable and accrued expenses

Carrying values approximate fair values due to their short-term nature.

Description of significant unobservable inputs to valuation:

The significant unobservable inputs used in the fair value measurement categorized within Level 3 of the fair value hierarchy together with a quantitative sensitivity analysis as at September 30, 2025 and December 31, 2024 are shown below:

	Valuation technique	Significant unobservable inputs	Range
Unquoted equity shares at FVOCI	Adjusted net asset value method	Price per square meter	₱900 - ₱8,000

The appraised value of the land was determined using the market approach which is a valuation technique that uses prices and other relevant information generated by market transactions involving identical or comparable assets. Net adjustment factors arising from external and internal factors (i.e. location, size/shape/terrain, and development) affecting the subject properties as compared to the market listing of comparable properties ranges from -20% to -10%. Significant favorable (unfavorable) adjustments to the aforementioned factors based on the professional judgment of the independent appraisers would increase (decrease) the fair value of land, in return the fair value of the unquoted financial asset.

Financial Risk Management Objectives and Policies

The Company's financial instruments comprise cash and cash equivalents, receivables, financial assets and accounts payable and accrued expenses. The main purpose of these financial instruments is to fund its own operations and capital expenditures. The BOD reviews and approves policies for managing these risks. Also, the Audit Committee of the BOD meets regularly and exercises oversight role in managing these risks.

Financial Risks

The main financial risks arising from the Company's financial instruments are liquidity risk, market risk and credit risk.

The tables below summarize the maturity profile of the Company's financial assets and liabilities as of September 30, 2025 and December 31, 2024 based on contractual undiscounted payments.

30-Sep-25 (Unaudited)				
	On demand	Within one year	More than one year	Total
Financial assets				
Financial assets at FVTPL:				
Equity securities	₱ 29,547,549	₱—	₱—	₱ 29,547,549
Financial assets at amortized cost:				
Cash and cash equivalents	383,728,342	—	—	383,728,342
Receivables:				
Receivable from HEDC	—	21,652	—	21,652
Rent receivable	24,825	—	—	24,825
Accrued interest receivable	806,719	—	—	806,719
Dividends receivable	—	696,009	—	696,009
Financial assets at FVOCI:				
Quoted equity securities:				
PERC	—	—	13,248,005	13,248,005
Unquoted equity security:				
Government securities	—	—	7,085,533	7,085,533
	414,107,435	717,661	20,333,538	435,158,634
Financial liabilities				
Accounts payable and accrued expenses	222,857	—	—	222,857
Net financial assets	₱413,884,578	₱717,661	₱20,333,538	₱434,935,777

31-Dec-24 (Audited)				
	On demand	Within one year	More than one year	Total
Financial assets				
Financial assets at FVTPL:				
Equity securities	₱ 29,738,681	₱—	₱—	₱ 29,738,681
Financial assets at amortized cost:				
Cash and cash equivalents	16,823,766	—	—	16,823,766
Receivables:				
Receivable from HEDC	124,554	—	—	124,554
Rent receivable	34,241	—	—	34,241
Accrued interest receivable	—	1,180,018	—	1,180,018
Dividends receivable	—	636,487	—	636,487
Notes receivable	—	100,000,000	—	100,000,000
Financial assets at FVOCI:				
Quoted equity securities:				
PERC	—	—	13,864,191	13,864,191
Unquoted equity security:				
HEDC	—	—	603,067,536	603,067,536
Government securities	—	—	3,979,293	3,979,293
	46,721,242	101,816,505	620,911,020	769,448,767
Financial liabilities				
Accounts payable and accrued expenses	822,444	—	—	822,444
Net financial assets	₱45,898,798	₱101,816,505	₱620,911,020	₱768,626,323

Liquidity risk

Liquidity risk is the risk that the Company is unable to meet its financial obligation when due. As of December 31, 2024, the Company has substantial investments in shares of stock which are not listed in the Philippine Stock Exchange and may not be readily convertible to liquid assets necessary to meet any potential additional liquidity requirements of the Company. Investments in unquoted equity securities classified as financial assets at FVOCI amounted to ₱603.07 million. Said investment was subsequently sold on July 8, 2025 for a total consideration of ₱325 million. As of September 30, 2025, majority of the Company's assets comprised of cash and cash equivalents thereby reducing the liquidity risk at a very minimal to nil level.

The Company monitors its cash position and overall liquidity position in assessing its exposure to liquidity risk. The Company maintains a level of cash and cash equivalents deemed sufficient to finance operations and to mitigate the effects of fluctuation in cash flows.

Market risk

Market risk is the risk of loss on future earnings, on fair values or on future cash flows that may result from changes in market prices. The value of a financial instrument may change as a result of changes in interest rates, foreign currency exchanges rates, commodity prices, equity prices and other market changes. The Company's market risk emanates from its holdings in debt and equity securities.

The Company closely monitors the prices of its debt and equity securities as well as macroeconomic and entity-specific factors which could directly or indirectly affect the prices of these instruments. In case of an expected decline in its portfolio of equity securities, the Company readily disposes or trades the securities for replacement with more viable and less risky investments.

Credit risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. With respect to credit risk arising from cash and cash equivalents, receivables, financial assets at FVTPL and financial assets at FVOCI, the Company's exposure to credit risk is equal to the carrying amount of these instruments. The Company limits its credit risk on these assets by dealing only with reputable counterparties.

For cash and cash equivalents and quoted government securities, the Company applies the low credit risk simplification where the Company measures the ECLs on a 12-month basis based on the probability of default and loss given default which are publicly available. The Company also evaluates the credit rating of the bank and other financial institutions to determine whether the debt instrument has significantly increased in credit risk and to estimate ECLs.

The Company considers its cash and cash equivalents and quoted government securities as high grade since these are placed in financial institutions of high credit standing. Accordingly, ECLs relating to these debt instruments rounds to nil.

The Company's receivables are aged current as of September 30, 2025 and December 31, 2024. No receivables are considered credit-impaired.

As of September 30, 2025 and December 31, 2024, the carrying values of the Company's financial instruments represent maximum exposure as of reporting date.

The table below shows the comparative summary of maximum credit risk exposures on financial instruments as of September 30, 2025 and December 31, 2024:

	30-Sep-25 (Unaudited)	31-Dec-24 (Audited)
Financial assets at FVTPL:		
Equity securities	₱29,547,549	₱29,738,681
Financial assets at amortized cost:		
Cash and cash equivalents	383,728,342	16,823,766
Accrued interest receivable	806,719	1,180,018
Dividend receivable	696,009	636,487
Receivable from HEDC	21,652	124,554
Rent receivable	24,825	34,241
Notes receivable	-	100,000,000
Financial assets at FVOCI:		
Quoted equity securities:		
PERC	13,248,005	13,864,191
Unquoted equity security:		
HEDC	-	603,067,536
Investments in government securities	7,085,533	3,979,293
	₱435,158,634	₱769,448,767

The following tables show financial instruments recognized at fair value as of September 30, 2025 and December 31, 2024, analyzed between those whose fair values are based on:

1. quoted prices in active markets for identical assets or liabilities (Level 1);
2. those involving inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly or indirectly (Level 2); and
3. those with inputs for the asset or liability that are not based on observable market data (unobservable inputs) (Level 3).

	30-Sep-25 (Unaudited)			
	Level 1	Level 2	Level 3	Fair Value
Financial assets:				
Financial assets at FVTPL:				
Equity securities	₱29,547,549	₱-	₱-	₱29,547,549
Financial assets at FVOCI:				
PERC	13,248,005	-	-	13,248,005
Investments in government securities	7,085,533	-	-	7,085,533
	₱49,881,087	₱-	₱-	₱49,881,087

	31-Dec-24 (Audited)			
	Level 1	Level 2	Level 3	Fair Value
Financial assets:				
Financial assets at FVTPL:				
Equity securities	₱29,738,681	₱-	₱-	₱29,738,681
Financial assets at FVOCI:				
PERC	13,864,191	-	-	13,864,191
HEDC	-	-	603,067,536	603,067,536

Investments in government securities	3,979,293	—	—	3,979,293
	<u>₱47,582,165</u>	<u>₱—</u>	<u>₱603,067,536</u>	<u>₱650,649,701</u>

There were no transfers between Level 1 and Level 2 fair value measurements and no transfers into and out of Level 3 fair value measurements in September 30, 2025 and December 31, 2024.

14. Other Noncurrent Assets

On July 8, 2025, the Company sold all of its shares of stock in HEDC to Science Park of the Philippines, Inc., Regatta Holdings, Inc. and Asset Growth Inc.. The Purchase Price for the HEDC Sale Shares is ₱325 million, of which ₱300 million shall be paid by the buyers to the Seller in a one-time cash payment, upon which a Deed of Absolute Sale shall be executed. The remaining ₱25 million shall be treated as a receivable of SRC and settled through an "earnout" mechanism, whereby fifty percent (50%) of any cash dividends received by the buyers from the HEDC Sale Shares shall be remitted to SRC until the full amount is paid. The proceeds from the sale will be allocated by the Company for potential investments.

15. Capital Management

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its business and maximize shareholders' value.

The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders or issue new shares.

The Company monitors capital using a debt-to-equity ratio, which is total debt divided by total equity. The Company includes within total debt the following: accounts payable and accrued expenses. Total equity includes capital stock, net unrealized gains on financial assets at FVOCI and retained earnings.

The Company has no externally imposed capital requirements as of September 30, 2025 and December 31, 2024.

The table below demonstrates the debt-to-equity ratios of the Company as of September 30, 2025 and December 31, 2024:

	30-Sep-25 (Unaudited)	31-Dec-24 (Audited)
Total liabilities:		
Accounts payable and accrued expenses	<u>₱222,857</u>	<u>₱822,444</u>
Total equity:		
Capital stock	<u>₱163,000,000</u>	<u>₱163,000,000</u>
Net unrealized gains on financial assets at FVOCI	<u>292,269</u>	<u>428,417,775</u>
Retained earnings	<u>299,520,638</u>	<u>104,433,145</u>
	<u>462,812,907</u>	<u>695,850,920</u>
Debt-to-equity ratio	<u>0.0005:1</u>	<u>0.0012:1</u>

There were no changes in the objectives, policies or processes for the 3rd quarter 2025 and year ended December 31, 2024.

The Company has retained earnings available for dividend declaration amounting to ₱94.268 million as of September 30, 2025.

The Company's track record of capital stock is as follows:

	Number of shares registered	Issue/ offer price	Date of SEC approval	Number of holders as of year-end
Listing date - May 7, 1974	10,000,000,000	₱0.01/share	November 5, 1973	
Add (deduct):				
50% stock dividend	5,000,000,000	0.01/share	November 27, 1981	
60% stock dividend	9,000,000,000	0.01/share	October 31, 1990	
1:2.400 stock rights offering	10,000,000,000	0.01/share	September 28, 1992	
1:2.125 stock rights offering	16,000,000,000	0.01/share	February 8, 1994	
15% stock dividend	7,500,000,000	0.01/share	January 20, 1997	
Change in par value from ₱0.01/share to ₱1.00/share	(56,925,000,000)		August 14, 1997	
Quasi-reorganization	(412,000,000)	1/share	October 5, 1998	
December 31, 2010	163,000,000			4,941
Add (deduct): Movement	—	—	—	(38)
December 31, 2011	163,000,000			4,903
Add (deduct): Movement	—	—	—	(156)
December 31, 2012	163,000,000			4,747
Add (deduct): Movement	—	—	—	71
December 31, 2013	163,000,000			4,818
Add (deduct): Movement	—	—	—	(32)
December 31, 2014	163,000,000			4,786
Add (deduct): Movement	—	—	—	(28)
December 31, 2015	163,000,000			4,758
Add (deduct): Movement	—	—	—	—
December 31, 2016	163,000,000			4,758
Add (deduct): Movement	—	—	—	(41)
December 31, 2017	163,000,000			4,717
Add (deduct): Movement	—	—	—	(11)
December 31, 2018	163,000,000			4,706
Add (deduct): Movement	—	—	—	(14)
December 31, 2019	163,000,000			4,692
Add (deduct): Movement	—	—	—	(3)
December 31, 2020	163,000,000			4,689
Add (deduct): Movement	—	—	—	(5)
December 31, 2021	163,000,000			4,684
Add (deduct): Movement	—	—	—	(1)
December 31, 2022	163,000,000			4,683
Add (deduct): Movement	—	—	—	(7)
December 31, 2023	163,000,000			4,676
Add (deduct): Movement	—	—	—	(18)
December 31, 2024	163,000,000			4,658
Add (deduct): Movement	—	—	—	4
September 30, 2025	163,000,000			4,662

16. Basic and Diluted Earnings Per Share

The computations of the Company's basic earnings per share are as follows:

	30-Sep-25 (Unaudited)	30-Sep-24 (Unaudited)	31-Dec-24 (Audited)
Net income (loss)	₱3,837,493	(₱1,264,893)	₱3,966,998
Weighted average number of shares	163,000,000	163,000,000	163,000,000
Basic/Diluted earnings (loss) per share	₱0.024	(₱0.008)	₱0.024

The Company has no potentially dilutive common stock as of September 30, 2025, September 30, 2024, and December 31, 2024.

17. Others

- a) The Interim Financial Report as of September 30, 2025 is in compliance with generally accepted accounting principles (all effective standards and interpretations under PFRS).
- b) The same policies and methods of computation were followed in the preparation of the interim financial report compared to the December 31, 2024 Audited Financial Statements.
- c) Earnings (loss) per share is presented in the face of the unaudited statements of income for the period ended September 30, 2025 and September 30, 2024.
- d) There is no foreseeable event that will trigger direct or contingent financial obligation that is material to the Company, including any default of accelerated obligation.
- e) There are no material off-balance sheet transactions, arrangements, obligations and other relationship of the Company with other entities or persons that were created during the period.
- f) There are no changes in estimates of amounts reported in prior periods of the current financial year or changes in estimates of amounts reported in prior financial years that could have material effect in the current period.
- g) There are no issuances, repurchases and repayments of debt and equity securities.
- h) There are no changes in the composition of the issuer during the interim period, including business combinations, acquisition or disposal of subsidiaries, restructuring and discounting operations during the period.
- i) For the significant event which happened during the quarter, the Company sold its 11.33% equity interest in HEDC for a total consideration of ₱325 million on July 8, 2025.
- j) Other than item I there are no unusual item or items that affected the assets, liabilities, equity and cash flows of the September 30, 2025 Financial Statements.
- k) Other than item I no significant events happened during the quarter that will affect the September 30, 2025 Unaudited Financial Statements.
- l) There are no seasonal aspects that had a material effect on the financial condition or results of operation of the Company other than item I.

ITEM 2. MANAGEMENT DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

1. Financial Condition (As of September 30, 2025 and September 30, 2024)

	30-Sep-25	30-Sep-24	% Change	% to Asset
ASSETS				
Cash and cash equivalents	₱383,728,342	₱15,441,270	2385.08%	82.87%
Receivables	1,549,205	1,836,276	-15.63%	0.33%
Notes receivable	-	100,000,000	-100.00%	0.00%
Financial assets at FVTPL	29,547,549	32,670,554	-9.56%	6.38%
Other current assets	1,404,006	580,568	141.83%	0.30%
Financial assets at FVOCI	20,333,538	509,135,517	-96.01%	4.39%
Other non-current assets	25,000,000	-	0.00%	5.40%
Input VAT - noncurrent	1,473,124	1,283,173	14.80%	0.32%
TOTAL ASSETS	463,035,764	660,947,358	-29.94%	100.00%
LIABILITIES AND EQUITY				
Accounts payable and accrued expenses	222,857	362,089	-38.45%	0.05%
Deferred tax liability	-	58,589,318	-100.00%	0.00%
TOTAL LIABILITIES	222,857	58,951,407	-99.62%	0.05%
EQUITY	462,812,907	601,995,951	-23.12%	99.95%
TOTAL LIABILITIES AND EQUITY	₱463,035,764	₱660,947,358	-29.94%	100.00%

Total assets amounted to ₱463.035 million and ₱660.947 million as of September 30, 2025 and September 30, 2024, respectively.

The Company's cash and cash equivalents amounted to ₱383.728 million as of September 30, 2025 and ₱15.441 million as of September 30, 2024. The net increase of 2385.08% is primarily due to the proceeds from the sale of equity investment in HEDC and maturity of the Notes Receivable.

Receivables account as of September 30, 2025 amounted to ₱1.549 million compared to ₱1.836 million as of September 30, 2024. The 15.63% net decrease mainly refers to interest receivable from money market placements (MMPs) and dividend receivable from various stock investments during the period.

Notes receivable as of September 30, 2024 amounted to ₱100 million refers to the 362-day tenor promissory note through RCBC Capital Corporation. The maturity of this investment occurred on April 29, 2025.

Financial assets at FVTPL amounted to ₱29.548 million and ₱32.671 million as of September 30, 2025 and as of September 30, 2024, respectively. The 9.56% decrease is due to downward movement of the market values of investments in stocks traded at PSE.

Other current assets consist of prepayments and prepaid taxes. This amounted to ₱1.404 million and ₱0.581 million as of September 30, 2025 and September 30, 2024, respectively. The 141.83% net increase mainly represents additional deferred tax asset recorded during the period.

Financial assets at FVOCI as of September 30, 2025 amounted to ₱20.334 million and ₱509.136 million as of September 30, 2024. The 96.01% net decrease is mainly due to the sale of investment in HEDC.

Other non-current assets amounted to ₱25.000 million as of September 2025 refers to the remaining balance of the purchase price related to the Company's sale of its investment in HEDC.

Accounts payable and accrued expenses amounted to ₱0.223 million and ₱0.362 million as of September 30, 2025 and September 30, 2024, respectively. The 38.45% decrease is due to settlement of payables during the period.

Deferred tax liability amounted to ₱58.589 million as of September 30, 2024. The 100% decrease is due to the sale of the Company's investment in HEDC.

Total stockholders' equity as of September 30, 2025 amounted to ₱462.813 million or ₱2.839 book value per share and ₱601.996 million or ₱3.693 book value per share as of September 30, 2024.

2. Results of Operations (For the Quarter ended September 30, 2025 and September 30, 2024)

	30-Sep-25	30-Sep-24	% Change 2025 vs. 2024	% in Total Revenue
REVENUES				
Interest income	₱ 3,577,849	₱ 1,774,840	101.59%	88.30%
Dividend income	451,786	505,087	-10.55%	11.15%
Foreign exchange loss	-	(1,672)	-100.00%	0.00%
Other income	22,321	105,164	-78.77%	0.55%
TOTAL REVENUES	4,051,956	2,383,419	70.01%	100.00%
EXPENSES AND CHARGES				
General and administrative expenses	1,678,634	603,773	178.02%	41.43%
Net loss on fair value changes on financial assets at FVTPL	458,599	954,225	-51.94%	11.32%
TOTAL EXPENSES	2,137,233	1,557,998	37.18%	52.75%
Income before income tax	1,914,723	825,421	131.97%	47.25%
Provision for income tax	446	2,103	-78.78%	0.01%
NET INCOME	₱ 1,914,277	₱ 823,318	132.51%	47.24%

The Company posted a net income of ₱1.914 million or ₱0.012 earnings per share as of September 30, 2025 and ₱0.823 million or ₱0.005 earnings per share as of September 30, 2024.

Interest income amounted to ₱3.578 million and ₱1.775 million as of September 30, 2025 and September 30, 2024, respectively. The 101.59% increase is attributable to significant increase in cash balance as a result of sale of investment in HEDC during the period.

Dividend income amounted to ₱0.452 million and ₱0.505 million as of September 30, 2025 and September 30, 2024, respectively. The 10.55% decrease refers to lower cash dividends received from various stock investments.

Other income for September 2025 and 2024 mainly pertains to the rental income from the Company owned parking space in Tektite Towers and management services rendered to HEDC. The 78.77% decrease is due

to the termination of the lease agreement for parking space and discontinuance of management services following the sale of the Company's investment in HEDC during the period.

General and administrative expenses amounted to ₱1.679 million and ₱0.604 million as of September 30, 2025 and September 30, 2024, respectively. The 178.02% increase refers to higher stockholders meeting expense, capital gains tax and documentary stamp tax during the period.

The Company's net loss on fair value changes on financial assets at FVTPL amounted to ₱0.459 million and ₱0.954 million as of September 30, 2025 and September 30, 2024, respectively. The negative variance is due to the downward movement of investments in stocks during the period.

Provision for income tax as of September 30, 2025 and 2024 refers to the recognition of 2% Minimum Corporate Income Tax (MCIT). The Company set-up MCIT rather than the 25% regular tax because most of its income are derived from the unrealized market changes of its investments and passive income subject to final tax.

3. Financial Conditions (As of September 30, 2025 and December 31, 2024)

	30-Sep-25	31-Dec-24	% Change	% Asset
ASSETS				
Cash and cash equivalents	₱ 383,728,342	₱ 16,823,766	2180.87%	82.87%
Receivables	1,549,205	1,975,300	-21.57%	0.34%
Notes receivable	-	100,000,000	-100.00%	0.00%
Financial assets at FVTPL	29,547,549	29,738,681	-0.64%	6.38%
Other current assets	1,404,006	584,845	140.06%	0.30%
Financial assets at FVOCI	20,333,538	620,911,020	-96.73%	4.39%
Input Vat	1,473,124	1,309,761	12.47%	0.32%
Other non-current assets	25,000,000	-	100.00%	5.40%
TOTAL ASSETS	463,035,764	771,343,373	-39.97%	100.00%
LIABILITIES AND EQUITY				
Accounts payable and accrued expenses	222,857	822,444	-72.90%	0.05%
Deferred tax liability	-	74,670,009	-100.00%	0.01%
TOTAL LIABILITIES	222,857	75,492,453	-99.70%	0.05%
EQUITY	462,812,907	695,850,920	-33.49%	99.95%
TOTAL LIABILITIES AND EQUITY	₱ 463,035,764	₱ 771,343,373	-39.97%	100.00%

Total assets amounted to ₱463.036 million as of September 30, 2025 compared to ₱771.343 million as of December 31, 2024.

The Company's cash and cash equivalents amounted to ₱383.728 million as of September 30, 2025 compared to ₱16.824 million as of December 31, 2024. The 2180.87% increase is due to the receipt of proceeds from the sale of equity investment in HEDC and maturity of the Notes Receivable.

Receivables account as of September 30, 2025 amounted to ₱1.549 million compared to ₱1.975 million as of December 31, 2024. The 21.57% decrease mainly refers to shorter period of interest receivable from MMPs and dividend receivable from various stock investments.

The decrease in Notes Receivable refers to the maturity of its investment through RCBC Capital Corporation on April 29, 2025.

Financial assets at FVTPL amounted to ₱29.548 million compared to ₱29.739 million as of September 30, 2025 and December 31, 2024, respectively. The 0.64% decrease refers to downward movement of market values of investments in stocks traded at PSE during the period.

Other current assets as of September 30, 2025 amounted to ₱1.404 million compared to ₱ 0.585 million as of December 31, 2024. The 140.06% increase refers to deferred tax asset arising from the sale of investment in HEDC.

Input VAT as of September 30, 2025 amounted to ₱1.437 million compared to ₱ 1.310 million as of December 31, 2024. The 12.47% increase mainly refers to the input taxes paid during the period.

The decreases in financial assets at FVOCI and deferred tax liability refer to the sale of the equity investment in HEDC during the period.

Accounts payable and accrued expenses amounted to ₱0.223 million and ₱0.822 million as of September 30, 2025 and December 31, 2024, respectively. The 72.90% net decrease accounts for the settlement of payables and accruals during the period.

Total stockholders' equity as of September 30, 2025 amounted to ₱462.813 million or P2.839 book value per share compared to ₱695.851 million or P4.269 book value as of December 31, 2024.

4. Results of Operations (For nine months ended September 30, 2025 and September 30, 2024)

	30-Sep-25	30-Sep-24	% Change 2025 vs. 2024	% in Total Revenue
REVENUES				
Interest income	₱ 6,435,959	₱ 5,105,248	26.07%	89.88%
Dividend income	525,284	542,612	-3.19%	7.34%
Foreign exchange gain - net	337	300	12.33%	0.00%
Other income	198,850	315,493	-36.97%	2.78%
TOTAL REVENUES	7,160,430	5,963,653	20.07%	100.00%
EXPENSES AND CHARGES				
General and administrative expenses	3,127,836	1,785,766	75.15%	43.68%
Net loss on fair value changes on financial assets at FVTPL	191,132	5,436,470	-96.48%	2.67%
TOTAL EXPENSES	3,318,968	7,222,236	-54.05%	46.35%
Income (loss) before income tax	3,841,462	(1,258,583)	-405.22%	53.65%
Provision for income tax	3,969	6,310	-37.10%	0.06%
NET INCOME (LOSS)	₱ 3,837,493	₱ (1,264,893)	-403.38%	53.60%

The Company posted a net income of ₱3.837 million or ₱0.024 earnings per share as of September 30, 2025 and net loss of ₱1.265 million or ₱0.008 loss per share as of September 30, 2024.

Interest income amounted to ₱6.436 million and ₱5.105 million as of September 30, 2025 and September 30, 2024, respectively. The increase is attributable to higher interest rates on special savings account during the period.

Dividend income for September 30, 2025 and 2024 mainly refers to cash dividends from various stock investment. The decrease of 3.19% pertains to lower cash dividends received from investments during the period.

Other income amounted to ₱0.199 million and ₱0.315 million as of September 30, 2025 and September 30, 2024, respectively. The decrease pertains to the termination of lease agreement for parking space in April 2025 and discontinuance of management services during the current period.

General and administrative expenses amounted to ₱3.128 million and ₱1.786 million as of September 30, 2025 and September 30, 2024, respectively. The 75.15% increase accounts for higher stockholders' meeting expense during the period.

The Company's net loss on fair value changes on financial assets at FVTPL amounted to ₱0.191 million as of September 30, 2025 and ₱5.436 million as of September 30, 2024. The decrease pertains to downward movements in market value of the investments in stocks traded at the PSE for the period.

Provision for income tax as of September 30, 2025 and 2024 refers to the recognition of 2% Minimum Corporate Income Tax (MCIT). The Company set-up MCIT rather than the 25% regular tax because most of its income are derived from the unrealized market changes of its investments and passive income subject to final tax.

KEY PERFORMANCE INDICATORS (KPI):

The following liquidity and profitability ratios indicate acceptable levels of financial condition and performance of the company:

	Unaudited 30-Sep-25	Unaudited 30-Sep-24	Audited 31-Dec-24	Formula
Current ratio	1867.694:1	415.723:1	181.316:1	Total Current Assets/Total Current Liabilities
Debt-equity ratio	0.0005:1	0.0979:1	0.11:1	Total Debt/Total Stockholders' Equity
Net profit margin	53.59%	-21.21%	-39.29%	Net Income/Total Revenue
Asset turnover	0.0155:1	0.009:1	0.01:1	Revenue/Total Assets
Earnings/(loss) per share	0.024	(0.008)	(0.019)	Net Income (Loss)/Issued & Outstanding Shares

The Company's current ratio as of September 30, 2025 is higher compared to September 30, 2024 due to the increase in current assets and decrease in current liabilities.

The Company's debt-equity ratio as of September 30, 2025 is lower compared to September 30, 2024 due to decreases in liability and stockholders' equity during the period.

Asset turnover for the 3rd quarter 2025 is higher compared to the 3rd quarter 2024 due to increase in revenues and decline in assets during the period.

Please refer to Financial Soundness Indicators for additional KPIs

Discussion of indicators of the Company's level of performance

Receivable Management

The Company's receivables reported in the Statements of Financial Position include the following:

1. Cash Dividends from various stock investments.
2. Accrued Interest Receivable from the Company's short term investments as of September 30, 2025 of which the Company will receive upon maturity.

Furthermore, the Company manages its receivables by monitoring on a regular basis to ensure timely execution of necessary interventions efforts.

Liquidity Management

As of September 30, 2025, the Company has already disposed its investments in shares of stock which are not listed in the Philippine Stock Exchange. As of December 31, 2024, the Company's investment in unquoted securities included in financial assets at FVOCI amounted to ₱603.068 million.

The management of liquidity requires a flow and stock perspective. Constraints such as political environment, taxation, foreign exchange, interest rates and other environmental factors can impose significant restrictions on firms in management of their financial liquidity.

Seafront has considered the above factors and paid special attention to its cash flow management. The Company identifies all its cash requirements for a certain period and invests unrestricted funds to maximize interest earnings, i.e. money market placements.

Rate of Return of Each Stockholder

The Company has no existing dividend policy. However, the Company intends to declare dividends in the future out of its unrestricted retained earnings in accordance with the Corporation Code of the Philippines.

Cost Reduction Effort

In order to minimize expenses, the Company has engaged the services of PetroEnergy Resources Corporation to handle its legal, administrative, accounting and treasury functions.

Financial disclosures in view of the current financial condition

The Company is still on wait-and-see attitude with respect to investing in other businesses. It has no intention of increasing its capital stock. The current market does not warrant an aggressive stance towards investments. The Company is generating its funds from interest earnings on money market placements.

There are no known trends, demands, commitments, events or uncertainties that will have material impact on the Company's liquidity.

The Company assesses the financial risk exposures particularly on currency, interest credit, and market and liquidity risks. Based on current assessments, there were no significant changes in these risks during the period that would materially affect the Company's financial condition or results of operations. The Company continues to implement risk management policies designed to address potential exposures and to preserve the value of its financial assets.

The Company's principal financial instruments include cash and cash equivalents, trading and investment securities (financial assets at FVTPL) and receivables. The main purpose of these financial instruments is to fund the Company's working capital requirements.

Financial Risk Management Objectives and Policies

Please refer to Note 13.

Plan of Operations

A. Investment in Financial Assets at FVOCI not traded in the market (Investment in HEDC)

On May 8, 2025, the BOD approved the sale of the Company's entire 11.33% equity interest in HEDC.

On July 8, 2025, the Company sold the same for a total consideration of ₱325 million to existing stockholders of HEDC.

B. Investment in Financial Assets at FVTPL and FVOCI traded in the market

The Company will continue to closely monitor the prices of its securities as well as those specific factors which could directly or indirectly affect the prices of these instruments. Because such investments are subject to price risk due to changes in market values, an expected decline in the portfolio will prompt the Company to dispose or trade the securities for replacement with more viable and less risky investments in the future.

With the Company's current cash position, it can sustain its needs for its operating expenses. Thus, it does not intend to raise additional funds.

PART II - Other Information

The Company has no other information that need to be disclosed other than disclosures made under SEC Form 17-C (if any).

SEAFRONT RESOURCES CORPORATION**SUPPLEMENTARY INFORMATION AND DISCLOSURES REQUIRED ON SRC
RULE 68 AS AMENDED****SEPTEMBER 30, 2025**

Philippine Securities and Exchange Commission (SEC) issued the amended Securities Regulation Code Rule SRC Rule 68 which consolidates the two separate rules and labeled in the amendment as “Part I” and “Part II”, respectively. It also prescribed the additional information and schedule requirements for issuers of securities to the public.

Below are the additional information and schedules required by Revised SRC Rule No. 68, that are relevant to the Company. This information is presented for purposes of filing with the SEC and is not required part of the basic financial statements.

Schedule A. Financial Assets

Below is the detailed schedule of the Company’s financial assets as of September 30, 2025:

Name of Issuing Entity and Association of Each Issue	Number of Shares or Principal Amount of Bonds and Notes	Amount Shown in the Statement of Financial Position	Income Received and Accrued
Financial assets at FVTPL			
Equity Securities:			
PetroEnergy Resources Corporation	3,613,852	₱12,431,651	₱—
House of Investments, Inc.	2,484,000	9,439,200	447,120
Araneta Prop.	3,756,788	1,859,610	—
Ayala Land, Inc.	128,193	3,121,500	37,022
EEI Corporation	372,500	1,143,575	—
Others	838,359	1,552,013	115,186
		₱29,547,549	₱599,328

Name of Issuing Entity and Association of Each Issue	Number of Shares or Principal Amount of Bonds and Notes	Amount Shown in the Statement of Financial Position	Income Received and Accrued
Financial assets at FVOCI			
Debt equities			
Philippine Government	—	₱7,085,533	₱—
Quoted:			
PetroEnergy Resources Corporation	3,851,164	13,248,005	—
	—	₱20,333,538	₱—

The fair value for financial instruments traded in active markets at the reporting date is based on their quoted market price without any deduction for transaction costs. For securities in which current bid and asking prices are not available, the price of the most recent transaction provides evidence of the current fair value as long as there has not been a significant change in economic circumstances since the time of the transaction.

For unquoted financial securities, the Company uses its judgment to select the most appropriate valuation methodology to value its unquoted equity investments and make assumptions that are mainly based on market conditions existing at each reporting period. It involves directly measuring the fair value of the assets and liabilities of the investee company, as mainly determined by the Company's external appraiser. Assets of the investee company consist mainly of parcels of land for sale which is adjusted to its fair value.

Schedule B. Amounts Receivable from Directors, Officers, Employees and Principal Stockholders (Other than Related Parties)

The Company has no outstanding receivables from its directors, officers, employees and principal stockholders as of September 30, 2025 and December 31, 2024.

Schedule C. Amounts Receivable from/Payable to Related Parties which are Eliminated during the Consolidation of Financial Statements

Not applicable.

Schedule D. Long-term Debt

The Company has no outstanding long-term debt as of September 30, 2025 and December 31, 2024.

Schedule E. Indebtedness to Related Parties (Long Term Loans from Related Companies)

The Company has no long-term indebtedness to related parties as of September 30, 2025 and December 31, 2024.

Schedule F. Guarantees of Securities of Other Issuers

The Company does not have guarantees of securities of other issuers as of September 30, 2025 and December 31, 2024.

Schedule H. Capital Stock

Title of issue	Number of shares authorized	Number of shares issued and outstanding as shown under related balance sheet caption	Number of Shares reserved for options, warrants, conversion and other rights	Number of shares held by related parties	Directors, officers and employees	Others
Common Shares	388,000,000	163,000,000	—	30,469,858	4,926	132,525,216

SEAFRONT RESOURCES CORPORATION
SCHEDULE OF FINANCIAL SOUNDNESS INDICATORS

Financial Soundness Indicators

Below are the financial ratios that are relevant to the Company for the ninth-month period ended September 30, 2025, September 30, 2024 and for the year ended December 31, 2024:

Financial ratios		30-Sep-25 (Unaudited)	30-Sep-24 (Unaudited)	31-Dec-24 (Audited)
Current ratio	Current assets	1867.69:1	415.72:1	181.32:1
	Current liabilities			
Debt to assets	Total debt	0.0005:1	0.0892:1	0.0979:1
	Total assets			
Asset-to-equity ratio	Total assets	1.00:1	1.10:1	1.11:1
	Total equity			
Earnings/(loss) per share	Net income	0.024:1	(0.008:1)	(0.019):1
	Weighted average no. of shares			
Price earnings ratio	Closing price	94.72	(180.41)	(99.75)
	Earnings per share			
Return on revenue	Net income	0.54	(0.21)	(0.39)
	Total revenue			
Long-term debt to equity ratio	Long-term debt	N/A	N/A	N/A
	Equity			
EBITDA to total interest paid	EBITDA*	N/A	N/A	N/A
	Total interest paid			

**Earnings before interest, taxes, depreciation and amortization (EBITDA)*

SEAFRONT RESOURCES CORPORATION
RECONCILIATION OF RETAINED EARNINGS AVAILABLE FOR DIVIDEND
DECLARATION
SEPTEMBER 30, 2025

The table below presents the retained earnings available for dividend declaration as of September 30, 2025:

Unappropriated Retained Earnings (Deficit), beginning of the reporting period	₱92,162,586
Add: <u>Category A:</u> Items that are directly credited to Unappropriated Retained Earnings	
Reversal of Retained Earnings appropriation	
Effect of reinstatements or prior-period adjustments	
Others	—
Less: <u>Category B:</u> Items that are directly debited to Unappropriated Retained Earnings	
Dividend declaration during the reporting period	—
Retained Earnings appropriated during the reporting period	—
Effect of reinstatements or prior-period adjustments	—
Others	—
Unappropriated Retained Earnings (Deficit), as adjusted	92,162,586
Add/Less: Net income (loss) for the current year	1,914,277
Less: <u>Category C.1</u> Unrealized income recognized in the profit or loss during the reporting period (net of tax)	
Equity in net income of associate / joint venture, net of dividends declared	—
Unrealized foreign exchange gain, except those attributable to cash and cash equivalents	—
Unrealized fair value adjustment (mark-to-market gains) of financial instruments at fair value through profit or loss (FVPTL)	191,132
Unrealized fair value gain of Investment Property	—
Other unrealized gains or adjustments to the retained earnings as a result of certain transactions accounted for under the PFRS	—
Subtotal	<u>191,132</u>
Add: <u>Category C.2</u> Unrealized income recognized in the profit or loss in prior reporting periods but realized in the current reporting period (net of tax)	
Realized foreign exchange gain, except those attributable to cash and cash equivalents	—
Realized fair value adjustment (mark-to-market gains) of financial instruments at fair value through profit or loss (FVPTL)	—
Realized fair value gain of Investment Property	—
Other realized gains or adjustments to the retained earnings as a result of certain transactions accounted for under PFRS	—
Subtotal	<u>—</u>

Forward

Add: Category C.3 Unrealized income recognized in the profit or loss in prior reporting periods but reversed in the current reporting period (net of tax)

Reversal of previously recorded foreign exchange gain, except those attributable to cash and cash equivalents	—	
Reversal of previously recorded fair value adjustment (mark-to-market gains) of financial instruments at fair value through profit or loss (FVPTL)	—	
Reversal of previously recorded fair value gain of Investment Property	—	
Reversal of other realized gains or adjustments to the retained earnings as a result of certain transactions accounted for under PFRS	—	
Subtotal		

Adjusted Net Income / Loss		2,105,409
-----------------------------------	--	------------------

Add: Category D: Non actual losses recognized in profit or loss during the reporting period (net of tax)

Depreciation on revaluation increment (after tax)	—	—
Subtotal		

Add/Less: Category E: Adjustments related to the relief granted by SEC and BSP (see Footnote 3)

Amortization of the effect of reporting relief	—	
Total amount of reporting relief granted during the year	—	
Others	—	—
Subtotal		

Add/Less: Category F: Other items that should be excluded from the determination of the amount available for dividends distribution

Net movement of the treasury shares (except for reacquisition of redeemable shares)	—	
Net movement of the deferred tax asset not considered in reconciling items under previous categories	—	
Net movement of the deferred tax asset and deferred tax liabilities related to same transaction, e.g, set-up of right of use asset and lease liability, set-up of asset and lease liability, set-up of asset and asset retirement obligation, and set-up of service concession asset and concession payable		
Adjustment due to deviation from PFRS/GAAP - gain (loss)	—	
Others	—	
Subtotal		—

Total Retained Earnings, end of the reporting period available for dividend	94,267,995
--	-------------------

FOOTNOTES:

- (1) The amount of retained earnings of the company should be based on its separate (“stand alone”) audited financial statements.
- (2) Unappropriated Retained Earnings, beginning of the reporting period refers to the ending balance as reported in the “Reconciliation of Retained Earnings Available for Dividend Declaration” of the immediately preceding period.
- (3) Adjustments related to the relief provided by SEC and BSP pertain to accounting relief (e.g losses that are reported on a staggered basis) granted by regulators. However, these are actual losses sustained by the company and must be adjusted in the reconciliation to reflect the actual distributable amount.
- (4) This Reconciliation of Retained Earnings Available for Dividend Declaration is pursuant to Sec.42 of the Revised Corporate Code, which prohibits stock corporations to retain surplus profits in excess of one hundred (100%) percent of their paid-in capital and their power to declare dividends. However, this Reconciliation of Retained Earnings should not be used by the REIT Act and its Implementing Rules and Regulations.

SEAFRONT RESOURCES CORPORATION

MAP OF RELATIONSHIPS OF THE COMPANIES WITHIN THE GROUP

Group Structures

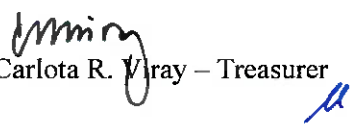
All existing stockholders as of September 30, 2025 neither constitute control nor significant influence over the Company. Also, the Company's investments neither constitute control nor significant influence.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the registrant has duly caused this report to be signed on behalf of the undersigned thereunto duly authorized.

Registrant : **SEAFRONT RESOURCES CORPORATION**

Signature and Title :  Milagros V. Reyes - President

Signature and Title :  Carlota R. Vray – Treasurer

Date : November 12, 2025